

based on fundamentally based weighting factors. Smart beta also includes equal-weighted funds in place of capitalization-weighted ones.

The global financial crisis of 2007–2008 that led to more interest in diversification and risk control was also an impetus toward smart beta strategies. Interest in smart beta has recently skyrocketed. According to State Street Advisors, smart beta ETFs attracted \$46 billion in 2013 and over \$80 billion during the preceding three years. Bloomberg reported \$156 billion in smart beta products as of February 2014.

Smart beta is the fastest growing segment of the ETF space and grew at an impressive 43% pace in 2013, based on the combined assets under management of the top six managers. Four out of ten (excluding actively managed, leveraged, and inverse) U.S. equities ETFs are now smart beta funds. Institutional investors allocated three times as many assets to smart beta strategies in 2013 as they did the previous year. A Cogent Research study released in January 2014 indicated that one in four institutional investors now use smart beta ETFs, and nearly half of those not currently using them say they are likely to start using them within the next three years.

The first problem with smart beta is that, like unicorns, there is no such thing. Since beta is simply a portfolio's sensitivity to movements in the overall market, it cannot be smart or dumb, although those who use it certainly can be. The expression *smart beta* makes as much sense as *smart correlation*, *smart standard deviation*, or *smart Justin Bieber*. Morningstar has now sensibly renamed smart beta as “strategic beta.”¹

SMART BETA CHARACTERISTICS

Amenc, Goltz, and Le Sourd (2009) and Perold (2007) show that fundamental indexation (a form of smart beta) is actually an active management strategy with a value tilt that is not necessarily superior to capitalization weighting. Chow et al. (2011) show that any apparent outperformance of alternative beta strategies over capitalization-based indexes is due to their exposure to value and small-cap factors.

Research Affiliates acknowledges that the value premium does indeed explain much of its indexes' performance. [Figure 6.1](#) is a price chart of the PowerShares FTSE RAFI US 1000 (PRF) ETF, based on the largest 1,000